AGA KHAN UNIVERSITY EXAMINATION BOARD

SECONDARY SCHOOL CERTIFICATE

CLASS IX

ANNUAL EXAMINATIONS (THEORY) 2024

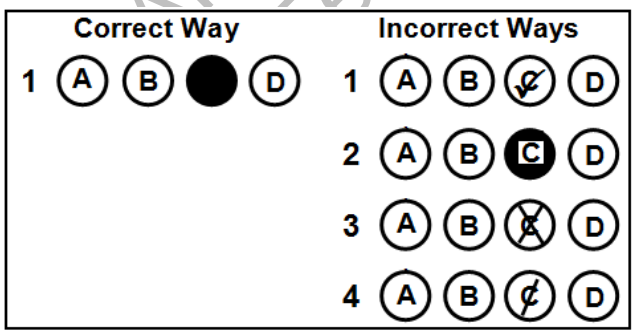
Principles of Accounting Paper I

Time: 55 minutes Marks: 30

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INSTRUCTIONS

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 30 only.
4. In each question, there are four choices A, B, C, D. Choose ONE. On the answer grid, black out the circle for your choice with a pencil as shown below.



Candidate's Signature

5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new circle.
6. DO NOT write anything in the answer grid. The computer only records what is in the circles.
7. You may use a simple calculator if you wish.
8. Wherever new terminologies are mentioned their old terminologies are mentioned in the brackets for your assistance.

1. The PRIMARY objective of bookkeeping is to record

   A. business deals and agreements in a legal manner.
   B. all non-financial transactions in an orderly manner.
   C. all the credit transactions performed by the business.
   D. financial transactions in a chronological and systematic manner.

2. Which of the following is NOT considered as a user (party) of the books of accounts for a small-scale entrepreneur business?

   A. Banker
   B. Supplier
   C. Customer
   D. Tax collector

3. In accounting, the phrase that BEST describes the accounting term 'expense' is the

   A. cost of machinery.
   B. cost of doing business.
   C. cost of ending inventory.
   D. cost of goods available for sold.

4. Which of the following is CORRECT with reference to the accounting equation?

	Assets (Rs)	**Liabilities (Rs)**	**Equity (Rs)**
A	10,000	5,700	15,700
B	18,000	8,000	8,000
C	12,000	2,000	12,000
D	14,500	4,500	10,000

5. Mr Aslam, an interior designer, received a utility bill of Rs 30,000 for his property. He is using 2/3rd of the property for his residence and the rest for interior designing outlet. Mr Aslam paid the bill from the business account.

   According to the business entity concept, the amount of the utility bill charged to the business will be

   A. 1/3 of the amount.
   B. 1/2 of the amount.
   C. 2/3 of the amount.
   D. 3/2 of the amount.

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Use the given business transaction to answer Q.6 and Q.7.

Ameen purchases goods worth Rs 150,000 from Alpha traders (on account).

6. In accounting records, the narration that BEST describes the given transaction in the books of Ameen would be to record as

   A. sales on credit.
   B. account payable (trade payable).
   C. purchases on cash.
   D. purchases on account.

7. The given transaction will be recorded in general journal as

	Particulars	P.R.	Debit	Credit
A	Purchases		150,000	
	Account payable (trade payable) (Alpha Traders)			150,000
B	Account payable (trade payable) (Alpha Traders)		150,000	
	Purchases			150,000
C	Purchases		150,000	
	Cash			150,000
D	Cash		150,000	
	Purchases			150,000

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8. Following is the bank ledger of Shams Corporation.

Bank					
Date	**Account**	**Folio**	**Debit**	**Credit**	**Balance**
June 1, 2023	Opening balance (Dr.)				150,000
June 3, 2023	Rent			25,000	
June 5, 2023	Sales		45,000		
June 7, 2023	Repairs			10,000	
June 12, 2023	Sales		35,000		

The running balance of bank ledger on June 12, 2023 will be

A. Rs 35,000
B. Rs 80,000
C. Rs 115,000
D. Rs 195,000

9. Following is the cash ledger taken from the books of Nafees Traders.

Dr.	**Cash**		**Cr.**
	Amount (Rs)		**Amount (Rs)**
Balance	15,000	Rent Expense	45,000
Sales	135,000	Purchases	65,000
Commission Income	45,000	Salaries	15,000
		Supplies	10,000

The amount of cash carried forward to the next period will be

A. Rs 15,000
B. Rs 60,000
C. Rs 135,000
D. Rs 195,000

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Use the given business transaction to answer Q.10, Q.11 and Q.12.

The following is the trial balance of Amirali Associates.

S.No.	Particulars	Debit	Credit
1.	Cash	15,000	
2.	Bank	125,000	
3.	Purchases	200,000	
4.	Sales		300,000
5.	Salaries expense	45,000	
6.	Rent expense	35,000	
7.	Account payable	45,000	
8.	Account Receivable	65,000	
9.	Capital		?
Total			

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10. Which of the following account heads is WRONGLY listed in the given trial balance?

    A. Trade receivable (account receivable)
    B. Trade payable (account payable)
    C. Capital
    D. Sales

11. The amount of capital account in the given trial balance is calculated through

    A. receipt – payment
    B. sales – purchases
    C. income – expense
    D. Dr. account – Cr. account

12. The given trial balance is said to be agreed when

    A. Dr. side is greater than Cr. side.
    B. Cr. side is greater than Dr. side.
    C. both sides of Dr. and Cr. are matched.
    D. Dr. and Cr. sides have a double value difference.

13. For computing the net income of the business, the CORRECT sequence of account heads in a classified income statement format will be

    A. current assets – current liabilities + non-current assets – non-current liability
    B. net purchases – net sales – opening stock – operating expense
    C. total assets – total liabilities + total owner equity
    D. net sales – cost of goods sold – operating expense

14. Shama runs a hardware store. She purchased a heavy-duty weighing scale for weighing the iron-bars and hardware items on account.

The book of prime entry in which the given business transaction will be recorded is

A. purchase daybook.
B. purchase journal.
C. general journal.
D. cashbook.

15. In a three-column cashbook, the three columns are titled (account head) as

A. cash, bank and balance.
B. discount, cash and bank.
C. purchases, bank and discount.
D. sales, particulars and cash.

16. Ayan is a petty cash operator. A cheque for Rs 2,500 was issued to him for the establishment of petty cash fund. He has been instructed by the chief accountant of the firm to submit the vouchers on weekly basis and instantly a cheque will be issued against the voucher presented to maintain the given balance.

The given petty cash system is identified as

A. open system.
B. imprest petty cash system.
C. ordinary petty cash system.
D. fixed advance petty cash system.

17. The general journal entry to record the replenishment of a petty cashbook will be

	Particulars	P.R.	Debit	Credit
A	Bank		XXX	
	Petty cash Fund			XXX
B	Petty cash fund		XXX	
	Bank			XXX
C	Petty cash expense		XXX	
	Bank			XXX
D	Bank		XXX	
	Petty cash bank			XXX

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18. Recently, Azeem Traders announced their new discount policy for customers. The following discount rules will be followed as per the policy:

S.No.	Payment Period	Discount Rate
1	Within 7 days	15%
2	Within 15 days	10%
3	Within 21 days	5%
4	After 22 days	No discount

The discount allotted to customer will be classified as

A. cash discount.
B. trade discount.
C. nominal discount.
D. list price discount.

19. A special purpose journal which is used to keep a systematic record of the goods bought on credit is known as a

A. purchase journal.
B. purchase account.
C. sales journal.
D. sales account.

20. Debit and credit notes are documents which are widely used in businesses. These trade documents are issued while goods are

A. sold on account.
B. purchased on account.
C. purchased or sold on cash.
D. returned on account by the purchaser to seller.

21. On June 01, 2023, Safina bought goods worth Rs 250,000 on credit from Aleena. On June 23, some of the defected goods worth Rs 35,000 were returned to Aleena.

The amount of goods returned will be recorded by Aleena as

	Account to be Debited	Account to be Credited
A	Trade payable (account payable) – Safina	Purchases return
B	Trade payable (account payable) - Safina	Sales return
C	Purchases return	Trade Receivable (account receivable) – Safina
D	Sales return	Trade Receivable (account receivable) – Safina

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22. The following transactions were extracted from the sales journal of Star Enterprises.

Sales Journal				
Date	**Invoice**	**Name of Customer**	**P.R.**	**Account receivable (212) Sales (110)**
01.03.16	0050015	Aarosh Traders		Rs 12,500
03.03.16	0050075	Ayan Associates		Rs 25,000
05.03.16	0050093	Abyan Brothers		Rs 20,000
07.03.16	0050124	Aman Traders		Rs 15,000
09.03.16	0050138	Alyan Brothers		Rs 12,500

The general entry to transfer the amount of the given journal will be

A. account payable (trade payable) Rs 85,000 debit and sales credit Rs 85,000
B. account receivable (trade receivable) Rs 85,000 debit and sales credit Rs 85,000
C. sales Rs 85,000 debit and account payable (trade payable) credit Rs 85,000
D. sales Rs 85,000 debit and account receivable (trade receivable) credit Rs 85,000

Use the given information for Q.23, Q.24 and Q.25.

On June 01, 2023, Areej and Ayan Associates purchased a machinery from Star Machineries at list price of Rs 500,000. The Star Machinery offers a credit term of 10/10 and n/30. The term was availed by the Areej and Ayan Associates.

The following expenditures occurred during the installation of machine in the month of June 2023:

- Machine documentation and license fees Rs 25,000
- Training of staff operating machine and its manual Rs 10,000
- Machine transportation and loading-unloading charges Rs 15,000
- Machine foundation and installation charges Rs 50,000
- Machine insurance premium charges Rs 100,000
- Installation of cooling unit for factory premises Rs 75,000

23. The total revenue expenses occurred on the machine for the month of June were

A. Rs 75,000
B. Rs 100,000
C. Rs 175,000
D. Rs 200,000

24. The cost of machine mentioned in the books of Areej and Ayan Associates would be

A. Rs 450,000
B. Rs 500,000
C. Rs 550,000
D. Rs 650,000

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25. On December 31, 2023 Areej and Ayan Associates decides to depreciate the machine with 20% diminishing balance method at the end of their financial year.

    The amount of depreciation in the books of Areej and Ayan Associates would be

    A. Rs 45,833
    B. Rs 55,000
    C. Rs 64,166
    D. Rs 110,000

26. The depreciation is computed by subtracting the salvage value from the purchase or acquisition price of a non-current asset (fixed asset) and dividing by the total productive years for which the asset can reasonably be expected to benefit the business.

    The given method of computing depreciation is classified as the

    A. production method.
    B. straight line method.
    C. reducing balance method.
    D. diminishing balance method.

27. The following information has been extracted from the books of Imperial Brothers at the end of the year.

    - The total balance for trade receivables (accounts receivable) Rs 20,000
    - Allowance (provision) for bad debts Rs 4,500

    The net amount of trade receivables (accounts receivable) shown in the statement of financial statement (balance sheet) will be

    A. Rs 4,500
    B. Rs 15,500
    C. Rs 20,000
    D. Rs 24,500

28. The contra account used for adjusting the non-current and non-tangible asset account is the

    A. drawing account.
    B. suspense account.
    C. allowance (provision) for bad debts account.
    D. allowance (provision) for depreciation account.

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Use the given information for Q.29 and Q.30.

The following balances have been taken from the books of Royal Company as on December 31, 2023.

	Particulars	**Amount (Rs)**
1	Account receivable	250,000
2	Allowance for bad debts	12,500

On review, it was found that the allowance (provision) was wrongly estimated and the new allowance (provision) should be charged at 10% instead of 5%.

29. The amount with which the bad debts expense would increase to show the revised allowance (provision) for bad debts will be

    A. Rs 12,500
    B. Rs 5,000
    C. Rs 6,250
    D. Rs 7,500

30. The amount of allowance (provision) for bad debts for 2023 in the balance sheet of the business would be

    A. Rs 25,000
    B. Rs 12,500
    C. Rs 37,500
    D. Rs 6,250

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END OF PAPER

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